

	Account #	Description	Debit	Credit
	3000	Owner's Equity		\$530

With this final entry, the transaction is now in balance and can be posted to the general ledger.

Once the closing entry is posted, all of the temporary accounts have zero balances and are ready to receive transactions for the next period. The equity account has increased or decreased by the amount of the net income/loss.

Equity Accounts

For a small business such as in our example, one equity account might be sufficient. However, they might want to expand the equity section a bit so they can fine-tune from where the business equity came. One approach to do this is to break equity into two accounts, the:

- 3000 Owner's Equity
- 3100 Retained Earnings

By using this approach, the Owner's Equity account represents contributions directly made by the owners and the Retained Earnings account represents accumulated profits over the life of the business.



Tip: While small businesses might be content with just a single Equity account, most corporate systems will have multiple equity accounts and will almost always have a retained earnings account.

Partnerships

If a business is run as a partnership, it might use the equity section to keep track of each partner's contributions and earnings from the business. For example, Bambi and Kim must each have their own equity accounts and agree that 60 percent of the profits go to Bambi and 40 percent of the profits go to Kim.

- 3000 Bambi's Equity
- 3010 Bambi's Retained Earnings
- 3100 Kim's Equity
- 3110 Kim's Retained Earnings

In this type of situation, the final journal row (to post the profit/loss) would be split among the two owners according to the partnership agreement: